



Teaming for Federal Set-Asides: The When, Why, and How



Meet the Presenter

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Let's start at the very beginning...



Basic Building Blocks

- What is a “**set-aside**” contract?
- What does it mean to be a “**small**” business?
- Are there specific *types* of small businesses?
- What is **affiliation** and why is it important?



Teaming is NOT Subcontracting..

- » It is NOT the same as subcontracting. And TAs are not Subks! Distinct documents and concepts.
- » Sometimes (incorrectly, colloquially) “teaming” is used as “umbrella term” meant to encompass several things (Teaming, SubK, JV...)
- » Strictly speaking, though, “teaming” is a specific type of pre-subcontracting relationship/agreement
- » Difference is the:
 - » **WHEN?**
 - » **WHY?**



Teaming is NOT Subcontracting

But You Need to Team with the Subcontract in Mind...

- » It's the timing and intent that makes it special
 - » Teaming comes first (if at all)
 - » Parties agree to proposal cooperation with intent (?) to subcontract
 - » *Preview: Keep Subcontract terms in mind!!*
 - » A team can be a more attractive choice for source selection, increase chance of award
 - » Who is leveraging what in set-aside context?



Teaming vs...

"Teams" vs. "Joint Ventures"

- » There are important differences
- » Not a prime/sub; JV as prime contractor

Teaming v. GSA CTAs

...And Why is Mentor-Protégé in the Mix??

- » Relation to JVs?
- » Purpose of program
- » First Step, not Final Destination

Whether, Teaming, Subcontracting, JV...A Universal Theme about Partnership

- » PICK THE RIGHT PARTNER!
- » Integrity and Willingness to Work (and Work Together)
- » Proactive and Solutions Oriented
- » Communication – Honest, Prompt, Proactive; Transparency
- » Empathy and Understanding

Team or Joint Venture

A close-up photograph of several classical stone columns, likely from a government building or courthouse. The columns are made of light-colored stone and feature fluted shafts and ornate capitals. The lighting is soft, highlighting the texture and curves of the stone.

Teaming v. JVs

- » Legal Considerations
- » Business Considerations
- » Practical Considerations



Teaming v. JVs

Key Things to Think About:

- » Your goals, strengths, weaknesses, capabilities
- » Your partner's goals, strengths, weaknesses, capabilities
- » Think in terms of **reality** v. expectations or hope
- » What is and is not a deal breaker? Again, be honest and realistic



Teaming v. JVs

Which is Right for YOU?

- » Who should be the Prime Contractor? (Small Prime w/ Large Sub or JV?)
 - » Leveraging of Eligibility, Capability
 - » Control, Responsibility, Liability, Finances
- » Target Opportunities?
 - » Timing
 - » Solicitation Terms
- » Affiliation Issues (Is Mentor Protégé Required?)



Teaming for Success



It's a Human Thing

Remember Keys for a Successful Team:

- » Diligence and Responsibility
- » Ownership and Accountability
- » Open and Honest Communication
- » Transparency
- » Trust



Teaming: Exclusivity

Going Steady: Are You Going to Be Exclusive?

- » Something the Prime really cares about
- » Remember the WHY
- » Do you want your competitors to have the same leg up?
- » Address this issue up front
 - » Remember: Communication; honesty; deal breakers?

Teaming: Exclusivity

- » Be specific about *scope and term* of exclusivity arrangement!
 - » Stand alone contract v. IDIQ?
 - » All TOs? All TOs meeting certain criteria? Location? Labor category? CLIN?
 - » Percentage? Of overall? Or per TO or per TO meeting criteria?
 - » Escape hatches?
- » Often times, parties tie this to (guaranteed) work share (understandably so)





Teaming: Enforceability

What if Something Goes Wrong – Can You **Enforce** the Agreement?

- » Usually something the Subcontractor cares about
- » A mere “agreement to agree” or does language manifest an intent to bind the parties?
 - » Level of specificity in language
 - » Different states - Different attitudes

Teaming: Expectations and Essential Provisions

- » Term and Termination
- » Scope of Workshare; Guaranteed or Not?
- » Protection of Proprietary Information/NDAs
- » Non-Solicitation
- » Protest Rights and Responsibilities
- » Changes
- » Disputes and Governing Law; Damages

Plan for all Contingencies!

Teaming: Expectations and Essential Provisions

- » **Subcontract Terms (or draft Subcontract?)**
 - » Particular attention to work share, scope of work, and pricing
- » **CONSISTENCY** between documents
 - » You truly need to predict, look forward, plan



Teaming

Best Practice Advice

- » Discuss Exclusivity
- » Specificity/Strong Language for Enforceability
- » Agree on (and Describe) Scopes of Work
 - » Make sure you and your partner understand legal requirements and limitations, etc.
- » Plan for Contingencies
- » Communicate and Honestly Discuss Expectations and Deal Breakers

Teaming: What Can Go Wrong?

- » Destroy Small Business Status/Eligibility
- » Lose Contract
- » Lost Eligibility for *Future* Contracts
- » Other Violations
- » Sanctions/Fees/Debarment?
- » Fraud, FCA?



Teaming: What Can Go Wrong?

When/Why Do These Problems Arise?

- Affiliation
- “Unconditional” Control Issues
- Performance of Work Requirements Not Met



Teaming: Affiliation

- “Ostensible Subcontractor”
 - Primary and Vital
 - Unduly Reliant (□ Control also?)
- General affiliation, totality of the circumstances
 - Frequent subcontracting
 - Financial reliance
 - Teaming with businesses owned by family members/past employers or employees
 - Sharing...



Teaming: Control

- Day to Day Management and Administration
- Long Term Decision Making

Areas of concern can be similar to affiliation (affiliation necessarily linked to control) – financial reliance and economic duress, etc.



Teaming: SubK Limitations

- 13 CFR 125.6
- “Responsibility,” but....



Teaming: Problems

When/How Do These Issues Come Up?

- » Protests (Size/Status; less often Bid)
- » Size/Status Investigations
- » When you get in a fight on the backend/subcontract does not work out





Subcontracting, Summarized



Subcontracting 101

» It's Still a Human Thing!

» It's all about the approach...

» Flow-Down Clauses

» Risk-Shifting Provisions

» "Pass Through" Claims

» Claims Between Primes and Subs

A close-up photograph of several classical stone columns, likely from a government building, showing the fluted shafts and the base of the columns.

Subcontracting 101

- » Less flexibility for Primes means less wiggle room for subs...
- » Mandatory Flow Downs (not “Automatic”)
- » What Else? Remember PURPOSE
- » Primes’ and Subs’ Biggest Mistakes
- » Don’t be an Ostrich!
- » Disputes Clauses

Subcontracting 101

- » Mandatory Clauses
- » Changes (Prosecution of Work)
- » Dispute/Dispute Resolution
- » Notice (Changes, Differing Site Conditions, etc.)
- » Terminations/Default
- » Delays/LDs
- » Suspensions
- » Costs and Pricing and Payment – VET IN ADVANCE (esp. when Teaming)
- » Option Exercise
- » L&E Issues
- » Ethics Requirements
- » Other Compliance Concerns
- » IP Issues



Joint Ventures and the Mentor-Protégé Program



Joint Ventures

Who is In the Joint Venture?

- » Two (or more) Small Businesses
 - » Each is Individually Small...
- » A Large and Small Business
 - » Mentor Protégé is a Prerequisite

Mentor Protégé Program

A Very Summary Primer on the Mentor Protégé Program

- » Now just one program: 13 CFR 125.9
- » Purpose is key
- » Eligibility of Mentors/Protégé
- » Written Agreement
- » Ongoing Reporting Requirements
- » Consequences of Mistakes?



Mentor Protégé Program

Benefits of Mentor Protégé Relationship

- » A protégé and mentor may joint venture as a small business for any government prime contract or subcontract or sale, provided the protégé qualifies as small for the procurement. Such a JV may seek any type of small business contract for which the protégé qualifies.
- » No determination of affiliation or control may be found between a protégé firm and its mentor based solely on the mentor-protégé agreement or any assistance pursuant to the agreement (There are tradeoffs to discuss with your partner here...)
- » Raising Capital

Mentor Protégé Joint Ventures

“Small” Joint Ventures: Requirements

- » Written Agreement
- » Performance of Work & Performance of Work Reports
- » Certificate of Compliance
- » Inspection of Records
- » Consequences?

Other Eligible JVs: Requirements?



Mentor Protégé JVs

Limitations of Mentor Protégé JVs

- » Remember 2-year rule! (No longer 3-in-2)
- » Other limitations?



JVs, Mentor-Protégé Wrap Up

Best Practices

- » COMMUNICATION
- » Discuss Options/Deal breakers
- » Understand MP and JV Requirements **BEFORE** Selecting Partnership Type / Starting Down Path
- » Stay Vigilant About Requirements (Including Changes to Regs)
- » Do Not Be Embarrassed to Seek Advice!



Questions?

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